

DEXTROUS DIAMANTAIRES
Diamond cutters busy at work at an LGD unit in Surat

and semi-skilled workers. The Centre projects that the LGD industry alone could generate 2.5 million jobs by 2025. The sector's significant potential also stems from the diverse range of applications beyond jewellery. Across the world, 70 per cent LGDs—of low quality—are being produced for industrial use, as their high thermal conductivity and extreme hardness make them suitable for protective coatings on cutting tools. High-purity LGDs, on the other hand, are needed for an assortment of emerging technologies in defence, space, optics, 5G networks and microchips.

WHY LGDs ARE A GIRL'S NEW BEST FRIEND

Their price for one. A 6 carat lab diamond, for instance, which Itara offers for Rs 8 lakh, could cost 10 times as much in the case of a mined diamond. (The price difference is about 70 per cent for smaller diamonds, though.) This is because LGDs have a significantly higher yield of 90 per cent (the proportion of the rough diamond weight converted into a finished gem), giving them an edge over mined diamonds, which have a yield of 35 per cent. High yield means less wastage and low prices.



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SHIVIKA POONGLIA
Partner, Itara

"Lab diamonds are emerging as a popular gift," says Shivika Poonglia, a partner at Itara, which was launched in 2020. "In Mumbai, our main clientele are high net worth individuals and corporates, including first-time buyers."

WILL LGDs BE THE END OF MINED DIAMONDS?

The jury is still out on this one. Purists wonder whether the value of synthetic gems will sustain over time. As recently as 2016, a 1 carat LGD cost just 10 per cent less than its natural equivalent. By the end of 2022, the differential had widened to 80 per cent. Industry analyst Paul Zimnisky points this out in the February 2023 issue of trade magazine *LGD Times*: "Going into 2023, the swift momentum of lab-diamond demand growth continues; however, so does a trend of softer prices." Indian retailers, claim industry insiders, are not yet committing to the category—denying exchange or buyback of LGDs.

Others, however, see a decline in demand and value of mined diamonds over time. Already super-premium, the market for them is saturated in terms of buyers; the international market is dominated by a handful of repeat buyers. The LGD industry is focused on expanding the diamond buyers' market, especially the young, who may have moral reservations regarding mined diamonds.

Indeed, the mining process for natural diamonds is coming under increasing human rights and environment scrutiny. The industry first had to comply with the Kimberly Process (the trade regime created in 2003 to increase transparency and oversight in the diamond supply chain in order to eliminate blood diamonds), which made mining tougher and hence the rough more expensive and fewer in quantity. Then came the Covid-induced lull and the war in Ukraine. The US sanctioned Russian miner Alrosa, which supplies a third of Surat's roughs. Lakhs of diamond polishers in Surat and Mumbai stared at the prospect of prolonged joblessness. The LGD industry has come as a godsend. "It is bringing people back to the diamond polishing industry," says Smit Patel, a third-generation diamantaire and director of Greenlab Diamonds. "Otherwise, Surat was on the verge of losing its sheen." Patel, for one, is fervently hoping LGDs are forever. ■